Meals & Entertainment: Categorization Methodology

A general guide to sorting meal and entertainment expenses • Updated for the 2026 employer-meal rule change

Meal and entertainment expenses generally fall into one of a few categories, each with a different deductibility rate under current tax law. A 2026 tax law change means certain employer-provided food dropped from 50% deductible to 0% — an employer-run cafeteria or stocked food/drink supply, or meals provided because there's a genuine business reason employees must remain available or can't leave (not simply because a meal happens to be eaten at the office). The table below reflects that as its own category.

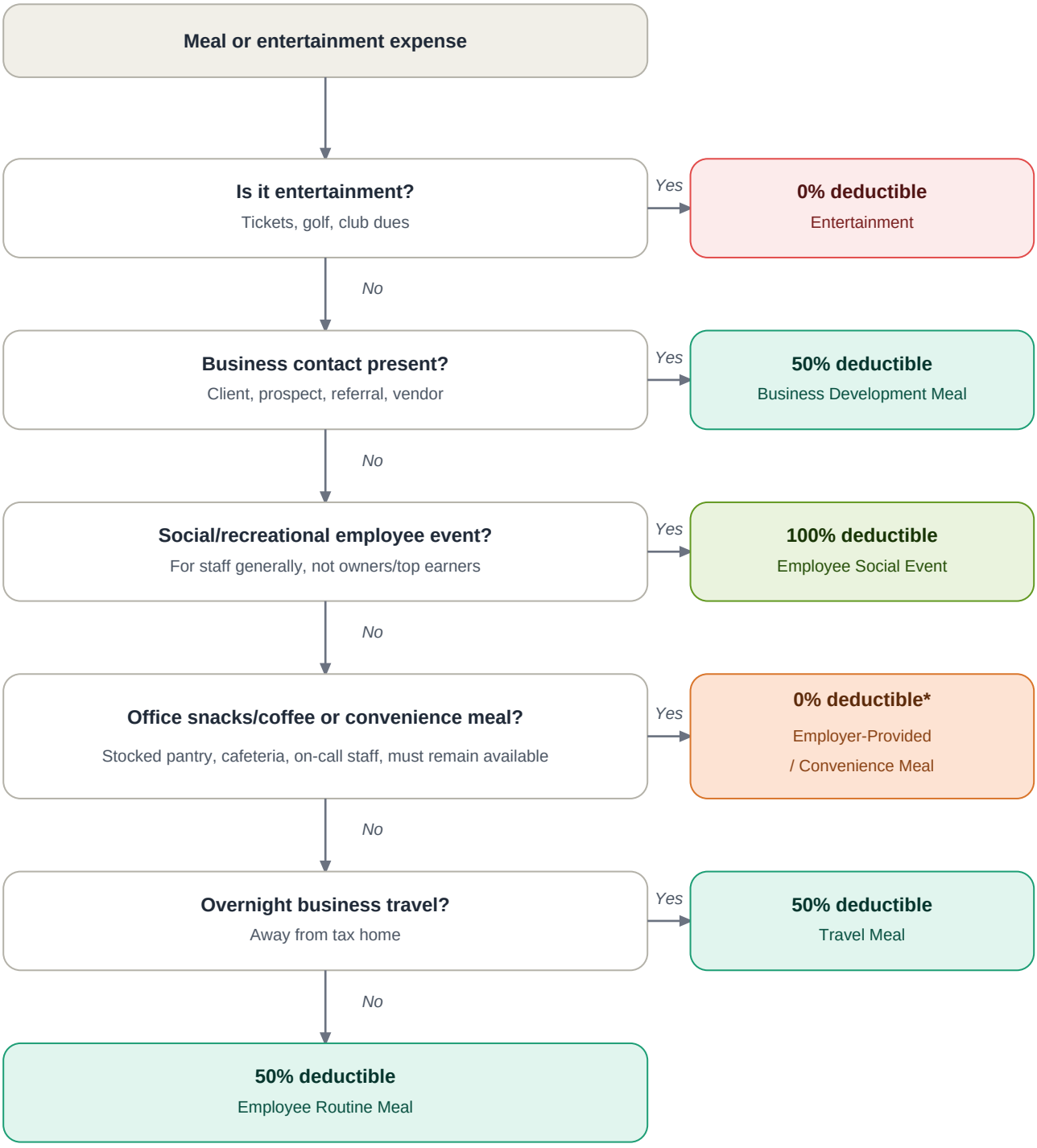
Category	Type / examples	Deductible
Business Development Meals	Coffee, lunch, or dinner with a business contact — client, prospect, referral source, vendor, or consultant — where business is discussed	50%
Employee Social Events	Company-wide events primarily for the team generally, not just owners or the highest earners — e.g. the annual holiday party, a summer picnic, an employee appreciation cookout, a retirement send-off	100%
Employee Routine Meals	One-off team meals and treats that aren't backed by a real business reason to stay put — e.g. the boss treating everyone to lunch, taking the team out to a restaurant, a casual Friday team lunch (whether eaten out or delivered to the office as a perk)	50%
Employer-Provided / Convenience Meals	Food from an actual employer-run cafeteria or a stocked food/drink supply (the break room snack/coffee stash), or meals provided because there's a genuine business reason employees must remain available or can't leave — not just because it's convenient to have food brought in — e.g. running a company cafeteria, stocked break room snacks/coffee, or feeding on-call/security staff who have to stay reachable through the meal	0%*
Travel Meals	Out-of-town business meals — e.g. dinner while at a conference, meals during an overnight client site visit	50%
Entertainment	Tickets, golf outings, club-related entertainment costs	0%

*** 2026 change:** this category was 50% deductible before 2026, so it's easy to miscode — and the biggest trap is assuming “we ate at the office” makes something 0%. It doesn't. Two things land here at 0%: an employer-run cafeteria or a stocked food/drink supply (break room snacks/coffee), and meals provided because there's a real business reason people must stay available or can't leave — not just morale or convenience. Ordering lunch delivered to the office every Friday as a team perk is still an Employee Routine Meal at 50%, even though it's eaten on-site — the location doesn't decide it, the reason does. (New for 2026 — see IRS Publication 15-B.)

Watch for bundled charges: food and beverages keep their normal treatment (0%/50%/100%, as above) only when purchased or invoiced *separately* from an entertainment charge. If bundled into one lump sum with tickets or a suite rental, the entire amount is treated as nondeductible entertainment.

Which category do I use?

Use this flow to decide which category applies to a given meal or entertainment expense.



* New for 2026 — see IRS Publication 15-B.